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2027 CYCLE

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CUET UG

Business Studies

Business Finance

Official Syllabus Unit IX · Class 12 · CUET UG 2027 Cycle Notes

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Syllabus Alignment

Sub-topic	Official syllabus pointer (NTA CUET(UG) Business Studies syllabus 2026, the current 2027 baseline, Unit IX)	Skills the questions test
Meaning, role, objectives of financial management	Business finance – meaning, role, objectives of financial management.	Stating finance as money and credit for business activity, and naming wealth maximisation — not profit maximisation — as the objective of financial management.
The three financial decisions	Financial decisions: investing, financing and dividend-Meaning and factors affecting.	Classifying a described move as investment, financing or dividend decision, and attaching the right factor list to each.
Financial planning	Financial planning – meaning and importance.	Explaining the double job — how much money and from where — and the twin dangers of shortage and surplus.
Capital structure	Capital Structure – meaning and factors.	Defining the debt–equity mix and matching factors — ICR, trading on equity, floatation cost, control — to situations.
Fixed and working capital	Fixed and Working Capital – meaning and factors affecting their requirements.	Separating long-term asset money from day-to-day operating money and attributing a firm's requirement to the right factor.

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EXAM PATTERN

CUET UG pattern (NTA official information bulletin and syllabus, 2026 cycle — the current 2027 baseline): each subject paper carries **50 compulsory questions** in **60 minutes**, with +5 for every correct answer and −1 for every incorrect answer. Unit IX is factor-list territory

— the three decisions, capital structure, fixed and working capital — and questions mostly hand you a situation and ask for the right factor or the right label.

What Business Finance Actually Is

Every business promise costs money before it earns any. A factory must buy land and machines, stock materials, pay salaries for months before the first sale converts; a shop needs shelves, stock and a cash float from day one. **Business finance** is that money — and the credit — that a firm raises, deploys and manages to carry out its activities. Managed well, it turns plans into products; managed badly, it turns good plans into unpaid bills.

- **Meaning:** business finance refers to the **money and credit** required for carrying out business activities — raised from owners, lenders and markets, and used across the firm.
- **Its role:** finance is the **fuel of every function** — production needs machines and materials, marketing needs campaigns, staffing needs salaries, growth needs investment; none of it moves without money.
- **Why managing it is a discipline:** the same rupee can sit idle, pay interest it need not owe, or earn returns — **financial management** is the art of choosing well.

The objective of financial management — wealth maximisation

- **The objective:** financial management aims at **maximising shareholders' wealth** — taking decisions that raise the long-term market value of what the owners hold.
- **Why not just profit? Profit maximisation** chases this year's earnings — it ignores risk, timing and long-term damage. A firm can raise this year's profit by cutting maintenance and starve its future. **Wealth maximisation** counts the future — it rewards decisions that raise the firm's long-term value, adjusted for risk and time.
- **The three instruments:** wealth is raised through the three decisions that follow — invest well, finance cheaply and safely, and balance dividends with retention.

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The Three Financial Decisions



Figure 1: Figure 1 — The three financial decisions: where money goes, where money comes from, and how profit is shared — with the factor list each decision weighs.

Investment decision — where the money goes

- **Meaning:** deciding **in which assets** the firm will put its money — the **long-term** part (capital budgeting: plants, machines, projects) and the **short-term** part (how much to hold in cash, inventory, receivables).
- **Factor — cash flows:** a project must generate real, usable cash inflows — paper profits that never become cash cannot pay back the investment.
- **Factor — rate of return:** the expected return must be compared with the cost of the funds invested — return above cost creates wealth.
- **Factor — risk:** higher promised returns usually carry higher risk; the decision weighs the two together, never return alone.

Financing decision — where the money comes from

- **Meaning:** deciding the **mix of sources** — how much raised from **shareholders (equity)** and how much **borrowed (debt)**.
- **Factor — cost:** the cheapest source wins the argument — debt usually costs less than equity, because lenders take less risk than shareholders.
- **Factor — risk:** debt brings **fixed interest and repayment duties**; more debt means more financial risk.
- **Factor — control:** new equity adds owners who share control; debt dilutes no one's vote.
- **Factor — floatation cost:** issuing shares or debentures itself costs money — the cheaper source may lose its edge once issue costs are counted.

- **Factor — state of capital markets:** a bullish market welcomes equity issues; a tight market pushes firms toward debt.

Dividend decision — distribute or retain

- **Meaning:** deciding what share of profit goes to shareholders as **dividends** and what share is **retained** inside the firm for growth.
- **Factor — earnings:** stable, healthy earnings can support steady dividends.
- **Factor — growth prospects:** firms with big expansion plans prefer to **retain** — shareholders accept it in exchange for future value.
- **Factor — cash flow position:** dividends are paid in **cash** — a profitable firm with tight cash flow may still skip the payout.
- **Factor — shareholder preference:** income-seeking shareholders want dividends; growth-seeking shareholders prefer retention.
- **Factor — taxation:** tax treatment of dividends versus retention tilts the choice from year to year.

Decision	Core question	Key factors
Investment	In which assets does the money go?	Cash flows, rate of return, risk
Financing	From which sources does the money come?	Cost, risk, control, floatation cost, capital market state
Dividend	How much profit is distributed vs retained?	Earnings, stability, growth prospects, cash flow, shareholder preference, taxation

Financial Planning — How Much, From Where

- **Meaning:** financial planning decides **how much money** the firm needs for its plans and **from which sources** that money will be raised — quantity first, sources second.
- **It looks two ways:** it covers the **present** (working funds for today's operations) and the **future** (funds for expansion the firm foresees).

Why financial planning matters

- **Prepares for the future:** the firm foresees its needs instead of being ambushed by them — expansion arrives funded, not improvised.
- **Avoids shortage:** too little money stalls operations, strains suppliers and forces emergency borrowing at punishing rates.
- **Avoids surplus:** idle money earns nothing and tempts careless spending — planning keeps the balance tight.
- **Coordinates departments:** when every department plans its money needs together, the firm's total requirement is honest and shared.
- **Links present with future:** today's operations and tomorrow's growth are funded as one story, not as competing claims.

Capital Structure — The Long-Term Mix

- **Meaning:** capital structure is the **proportion of debt and equity** in the firm's long-term funds — the mix that decides interest burdens, control and risk for years.
- **Debt:** borrowed funds — loans, debentures — carry **fixed interest**, cost less, but raise financial risk.
- **Equity:** owners' funds — shares and retained earnings — carry **no fixed commitment**, but cost more and dilute control.

Factors affecting the capital structure

- **Cash flow position:** the firm must service interest and repayments from cash — tight cash flows push toward equity.
- **Interest coverage ratio (ICR):** earnings before interest and tax divided by interest — the higher the ICR, the more safely debt can be carried.
- **Control:** owners unwilling to share control prefer debt; owners relaxed about dilution can raise equity.
- **Cost of debt:** cheaper debt invites more borrowing; expensive credit pushes toward equity.
- **Floatation costs:** issue costs of shares and debentures tilt the mix toward whichever route floats cheaper.
- **State of capital markets:** a bullish market makes equity issues easy; a depressed market favours debt.
- **Trading on equity:** when the **rate of return exceeds the cost of debt**, borrowing amplifies shareholders' returns — firms with stable earnings use this lever deliberately.
- **Tax rate:** interest is tax-deductible — a higher tax rate makes debt more attractive after tax.
- **Risk consideration and flexibility:** heavy existing debt argues for equity next; keeping unused debt capacity preserves room for future borrowing.

EVERYDAY EXAMPLE — FUNDING A COLLEGE FEST

The fest committee needs ₹5 lakh. They can ask the **student council** (equity — no repayment, but a share of decisions), **borrow from alumni** (debt — fixed repayment, no interference), or **hold back part of last year's surplus** (retained earnings). The mix they choose decides how much freedom they keep, how much interest they owe, and how loudly sponsors and students weigh in — a capital structure decision in miniature.

Fixed and Working Capital — Two Horizons of Money

The same firm holds two very different kinds of money: one locked for years in machines and buildings, one circulating weekly in stock and bills. The syllabus asks for both meanings and both factor lists — and questions love swapping the factors between the two.

Fixed capital — money locked in long-term assets

- **Meaning:** fixed capital is the money **invested in long-term assets** — land, buildings, plant, machinery — that serve the business for years and are not for sale.
- **It stays:** fixed capital is not recovered quickly; it returns slowly, through the profits the assets help create.

Factor	How it moves the fixed capital requirement
Nature of business	A railway needs vast fixed assets; a trader's office needs little — the business's type sets the base
Scale of operations	Bigger operations need bigger plants and more machines — scale scales fixed capital
Choice of technique	Capital-intensive production (machines doing the work) needs more fixed capital than labour-intensive
Growth prospects	Firms planning expansion buy capacity ahead — higher fixed capital today
Technology upgradation	Industries where machines age fast demand constant reinvestment
Business cycles	Boom phases push capacity building; slowdowns pause it

Working capital — money for the daily round

- **Meaning:** working capital is the money needed for **day-to-day operations** — measured as **current assets minus current liabilities** — funding stock, bills, wages and the credit gap between paying suppliers and collecting from customers.
- **It circulates:** cash becomes stock, stock becomes receivables, receivables become cash again — the faster the circle, the less working capital is trapped.

Factor	How it moves the working capital requirement
Nature of business	Trading firms hold heavy stock and credit — high working capital; service firms run lean — low
Scale of operations	Larger scale means larger daily stock, wages and bills — more working capital
Credit policy	Buying on credit and **selling on credit** both stretch the gap — generous selling credit raises the need
Availability of credit	Easy supplier credit shrinks the firm's own requirement
Seasonal factors	Peak seasons demand big stocks and staff — the need swells and shrinks with the calendar

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Factor	How it moves the working capital requirement
Operating efficiency	Fast stock turns and quick collections release cash — efficient firms run on less
Growth and inflation	Growing sales and rising prices inflate every working item

- **The contrast to carry: fixed capital decides the firm's capacity; working capital keeps the capacity running.** One is the engine, the other is the fuel in the daily tank.

Key Facts & Terms Cheatsheet

KEY FACTS & TERMS CHEATSHEET — UNIT IX (BUSINESS FINANCE)

Term / fact	What it means	Example / number
Business finance	Money and credit needed to carry out business activities	Fuel of every function
Objective of FM	**Wealth maximisation** — long-term shareholder value, risk-adjusted	Not this year's profit alone
Investment decision	Where money goes — long-term capital budgeting + short-term current assets	Factors: cash flows, return, risk
Financing decision	The equity–debt mix for funds	Factors: cost, risk, control, floatation, market state
Dividend decision	Distribute profit or retain for growth	Factors: earnings, growth, cash flow, preference, tax
Financial planning	Decide how much money is needed and from where	Avoids both shortage and surplus
Capital structure	Proportion of debt and equity in long-term funds	Debt cheap but risky; equity safe but costly
ICR	Interest coverage ratio = EBIT ÷ interest — how safely debt is served	Higher ICR invites more debt
Trading on equity	Borrowing to amplify shareholder returns when return exceeds cost of debt	Works only with stable earnings

Term / fact	What it means	Example / number
Floatation cost	The cost of issuing shares or debentures	Can erase the cheaper source's edge
Fixed capital	Money in long-term assets — land, plant, machines	Factors: nature, scale, technique, growth, tech, cycles
Working capital	Current assets minus current liabilities — daily operations	Factors: nature, scale, credit policy, seasons, efficiency

Carry everywhere: wealth maximisation beats profit maximisation; each decision has its own factor list — never mix them; fixed capital = capacity, working capital = daily fuel.

Common Errors and Special Cases

COMMON ERRORS & SPECIAL CASES

The mistake students make	What is right	The why / the trap
"The objective is profit maximisation"	It is **wealth maximisation** — long-term value, adjusted for risk and time	A firm can raise this year's profit by starving maintenance — wealth would fall while profit rises.
"Dividends are paid because profit exists"	Dividends need **cash** — a profitable firm with tight cash flow may skip the payout	Profit is an accounting result; the dividend decision checks the cash drawer.
"Trading on equity always helps"	It amplifies returns **only when return exceeds the cost of debt** — and earnings are stable	When earnings fall, the same debt amplifies losses instead.
"Capital structure and financial planning are the same"	Planning decides **how much and from where** overall; capital structure is the **debt–equity mix** of long-term funds	One is the blueprint, the other is one section of it.

The mistake students make	What is right	The why / the trap
"Fixed and working capital factors are interchangeable"	Fixed = nature, scale, technique, growth, technology, cycles; working = credit policy, seasons, efficiency, inflation	Swapped factor lists are the unit's most common multiple-choice trap.
"More debt is always cheaper, so always borrow"	Debt costs less but raises **fixed obligations and financial risk**	The mix balances cost against risk and control — not cost alone.

- **Spot the pattern:** factor-list questions are **sorting** questions — read the situation, ask which decision or which capital the factor moves, then answer from that list alone.
- **One special case:** when a question says "the firm's EBIT covers its interest bill eight times" — the tested factor is the **interest coverage ratio**, pushing the firm toward **more debt** in its capital structure.

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The Whole Chapter on One Page

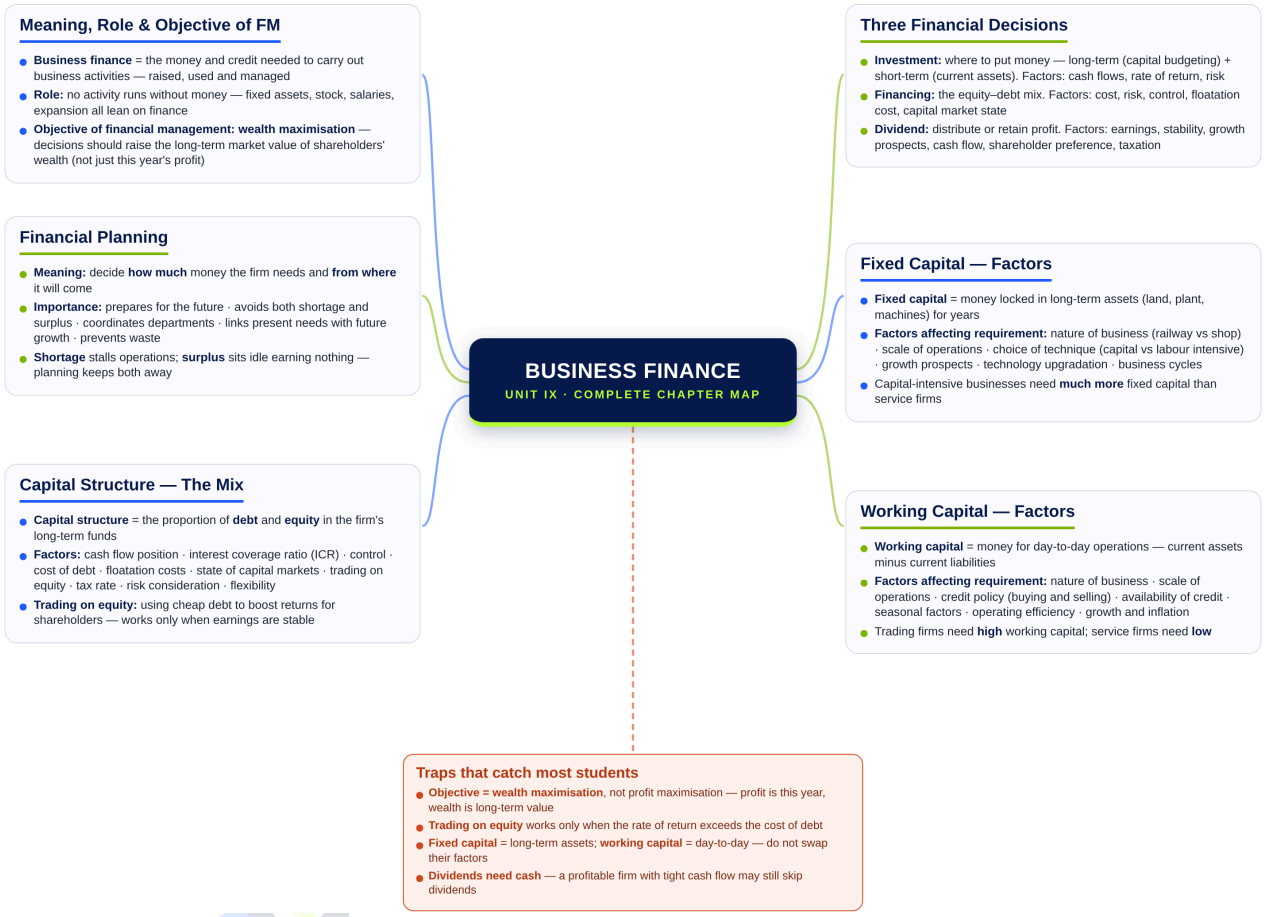


Figure 2: Figure 2 — Whole chapter on one page: meaning and objective, the three decisions, financial planning, capital structure with its factors, fixed and working capital with theirs, and the four traps that catch most students.

Practice Questions

Q1. The main objective of financial management is:

(A) maximising this year's profit

(B) maximising shareholders' wealth — long-term value adjusted for risk and time

(C) minimising the number of employees

(D) holding the largest possible cash balance

Q2. A firm decides to install a new automated production line, comparing the machine's expected cash inflows with its price. The decision type is:

(A) dividend decision

(B) financing decision

(C) investment decision

(D) working capital decision

Q3. A firm weighs how much of its new project should be funded by issuing shares and how much by taking a bank loan. This is the:

(A) investment decision
(B) financing decision
(C) dividend decision
(D) planning decision

Q4. A profitable company with a tight cash position declares no dividend this year. Which factor of the dividend decision explains this?

(A) shareholder preference
(B) cash flow position
(C) growth prospects
(D) taxation

Q5. Which factor belongs to the **financing** decision rather than the investment decision?

(A) rate of return of the project
(B) floatation cost of issuing securities
(C) cash flows of the project
(D) risk of the project's returns

Q6. A company's earnings before interest and tax are eight times its annual interest bill. The capital structure factor highlighted is:

(A) floatation cost
(B) state of capital markets
(C) interest coverage ratio — suggesting debt can be served safely
(D) control consideration

Q7. A stable-earnings firm borrows at 9% while its assets earn 15%. Using more of this cheap debt to raise shareholders' returns is called:

(A) trading on equity
(B) wealth maximisation
(C) financial planning
(D) management by exception

Q8. Which factor **increases** the requirement of fixed capital?

(A) generous credit to customers
(B) adopting capital-intensive production techniques
(C) seasonal demand swings
(D) slow collection of receivables

Q9. A trading firm that buys and sells on credit and carries heavy stock needs a large amount of:

(A) fixed capital
(B) working capital
(C) capital structure
(D) floatation capital

Q10. Financial planning aims to avoid both shortage and surplus of funds because:

(A) surplus earns more than shortage
(B) shortage stalls operations while surplus sits idle earning nothing
(C) both are illegal
(D) banks require equal balances

Solutions

Sol. Q1. Financial management aims at **wealth maximisation** — decisions that raise the long-term market value of shareholders' holdings, adjusted for risk and timing. Chasing one year's profit ignores risk and long-term damage.

Answer: (B)

Sol. Q2. Deciding **in which assets** money is put — comparing a machine's expected cash inflows with its cost — is the **investment** decision, in its long-term capital-budgeting form.

Answer: (C)

Sol. Q3. Choosing the **sources** of funds — shares versus bank loan — is the **financing** decision: the equity–debt mix question.

Answer: (B)

Sol. Q4. Dividends are paid in **cash**, not in accounting profit. A tight **cash flow position** can hold back the payout even when earnings exist — that is the factor at work.

Answer: (B)

Sol. Q5. Floatation cost — the expense of issuing shares or debentures — belongs to the financing decision's factor list. The other three all judge where money goes — the investment decision.

Answer: (B)

Sol. Q6. EBIT eight times the interest bill is the **interest coverage ratio** — high coverage means interest can be served comfortably, inviting **more debt** into the capital structure.

Answer: (C)

Sol. Q7. Borrowing below the assets' earning rate to amplify owners' returns is **trading on equity** — it works because 15% returns comfortably exceed the 9% cost of debt, and earnings are stable.

Answer: (A)

Sol. Q8. Capital-intensive techniques put more money into machines — raising **fixed** capital. The other three factors move **working** capital requirements.

Answer: (B)

Sol. Q9. Heavy stock plus two-way credit (buying and selling on credit) are the classic drivers of **working capital** — the money that keeps daily operations circulating.

Answer: (B)

Sol. Q10. **Shortage** stalls production and forces emergency borrowing; **surplus** sits idle earning nothing and invites careless spending. Planning holds the requirement tight between the two.

Answer: (B)

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